

Terms of Payment

The **Terms of payment** page is used to define how the due date will be calculated.

Follow these steps to set up terms of payments

1. Go to **Modules > Accounts payable > Payment setup > Terms of payment**.
2. Select **New**.

The screenshot shows the 'Terms of payment' setup page in Dynamics 365. The page has a left-hand navigation pane with a list of terms, including 'Net30'. The main area displays the 'Terms of payment' setup form. The 'Terms of payment' field is set to 'Net30', and the 'Description' field is also 'Net30'. In the 'Setup' section, the 'Payment method' is 'Net', 'Cash payment' is 'No', 'Months' is '0', and 'Days' is '30'. Other fields like 'Payment schedule', 'Payment day', 'Cutoff day', 'Default terms of payment', 'Due date update', and 'Cash' are also visible.

In the **Terms of payment** field, type a value. i.e NET30 (Mandatory)

3. In the **Description** field, type a value.
4. In the **Days** field, enter a number. The number entered here will be used to add to the due date, or to the end of the period identified in the **Payment method**. For example, if you select **Net**, the number will be added to the due date. If you select **Current month**, it will add the number to the last day of the current month to calculate the due date.
5. Select **Save**.
6. Close the page.